

application dated February 26, 1926, although it did mention that the company had spent approximately \$50,000,000 on extensions and improvement of properties since February 1907 and that "during this period properties have been depreciated by at least \$20,000,000."

Baldwin Locomotive Works, in its listing application dated October 3, 1929, makes the following rather astonishing statement on depreciation:

The amount of the depreciation upon plant and equipment as determined by the Federal Government for the five years 1924 to 1928 inclusive has totaled \$5,112,258.09 which has been deducted either from income or surplus as follows:

Year	From income	From surplus	Total depreciation
1924	\$600,000	None	\$600,000.00
1925	None	None	None
1926	None	None	None
1927	1,000,000	\$2,637,881.01	3,637,881.01
1928	600,000	274,377.08	874,377.08
	<u>\$2,200,000</u>	<u>\$2,912,258.09</u>	<u>\$5,112,258.09</u>

It is expected that in future years the amount of depreciation based upon the estimated useful life of depreciable properties as determined by the Federal Government, allowed by the Commissioner of Taxes as a proper deduction from income and agreed to by our engineers, will govern the amount to be used by the Works in its calculation of depreciation.

Evidently the income statements of Baldwin for this period were anything but accurate. The average annual earnings per share of common stock for 1924–1928, as reported to the stockholders, were strikingly higher than the correct figure, as shown at the top of the next page.

2. As Shown by Comparisons of Two Companies. When the analyst knows that a company's depreciation policy differs from the standard, there is special reason to check the adequacy of the allowance. Comparison with a single company in the same field may yield significant results, as is shown by the table in the middle of the next page respecting American Sugar and American Car and Foundry.